

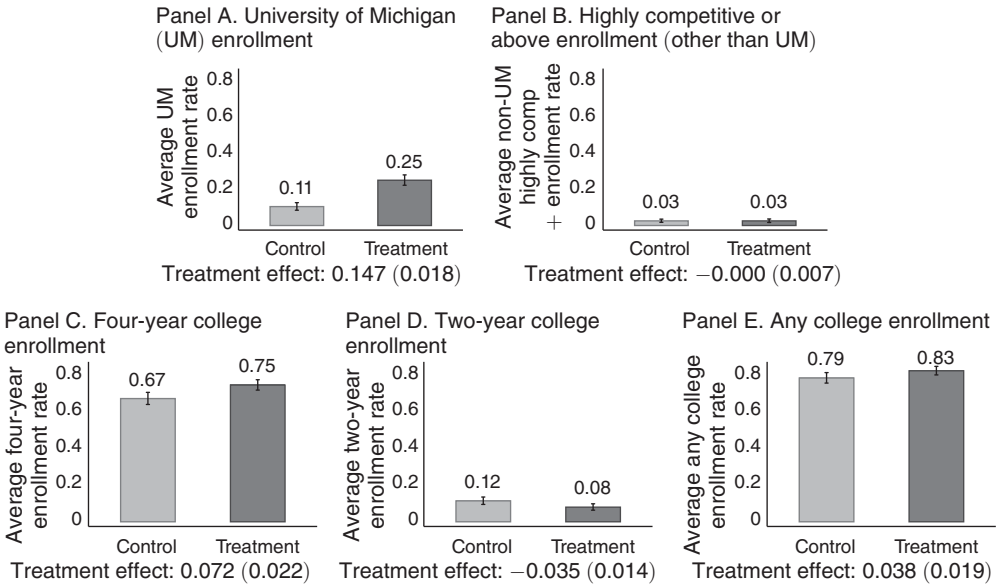


FIGURE 6. ESTIMATED EFFECT OF HAIL SCHOLARSHIP ON COLLEGE CHOICE, FIRST AND SECOND HAIL COHORTS

Notes: All analyses done at the school-year-level. Ninety-five percent confidence intervals shown based on standard errors clustered at the school level. Enrollment measured at the first institution attended in the fall following expected high school graduation. Enrollment unconditional on any college enrollment. Treatment effects estimated from a regression of the outcome on an indicator for treatment status and strata dummies. Robust standard errors clustered at the school level reported in parentheses.

Source: Michigan administrative data

Harvard. This would imply much smaller welfare effects than the estimates shown so far have suggested. We turn to data from the Michigan Department of Education (2020b) to examine the effect of the treatment on enrollment at other colleges.³⁵

We find no diversion from colleges at least as selective as the University of Michigan (Figure 6 and online Appendix Table 14). The offer of the HAIL scholarship neither discouraged, nor encouraged students from enrolling at other highly selective institutions.³⁶

Students in the treatment group were 3.8 percentage points more likely to attend any postsecondary institution than those in the control group. That is, roughly one-quarter of the increase in enrollment at the University of Michigan is driven by students who would not have attended *any* college in the absence of the treatment. We did not anticipate this result; it seemed unlikely that students this well prepared would be on the margin of not attending college.

Additionally, the offer of HAIL increased the share of students enrolling at any four-year college (7.2 percentage points) and decreased the share enrolling at two-year colleges (3.5 percentage points). Together, these results show that nearly

³⁵We have no application or admissions information for schools other than the University of Michigan.

³⁶This estimate (which uses Michigan Department of Education 2020b data) and the previously discussed estimate (based on University of Michigan Office of Enrollment Management 2020a data, Figure 4) are nearly identical: 14.7 versus 15.1 percentage points. The minor difference is attributable to differences in the dates on which NSC and University of Michigan record enrollment.